Consolidated Balance Sheet (in millions of CHF) (Nestle, 2025; Nestle, 2024; Nestle, 2023; Nestle, 2022; Nestle, 2021; Nestle, 2020)

Particulars	2024	2023	2022	2021	2020	2019
Assets						
Current Assets						
Cash and cash equivalents	5556	4816	5511	6988	5235	7469
Short-Terms Investments	2315	1035	1176	7007	3374	2794
Inventories	13260	11896	15019	11982	10101	9343
Trade and Other Receivables	11251	10995	11116	11155	10746	11766
Prepayments	543	521	549	575	477	498
Derivative assets	792	278	309	278	310	254
Current income tax assets	1334	1284	1285	1204	708	768
Assets held for sale	137	32	97	68	3117	2771
Total Current Assets	**35188**	**30857**	**35062**	**39257**	**34068**	**35663**
Non Current Assets						
Property, plant and equipment	33706	30467	30141	28345	25840	28762
Goodwill	30595	28693	31262	31012	27620	28896
Intangible assets	19245	18225	20237	22223	20148	17824
Investments in associates and joint ventures	14326	13088	13023	11806	12005	11505
Financial assets	3650	2947	3253	2824	2594	2611
Derivative assets	84	130	-	-	-	
Employee Benefits Assets and Reimbursement Rights	1475	962	1161	2417	468	510
Current income tax assets	-	-	-	-	-	55
Deferred Tax Assets	995	1181	1043	1258	1285	2114
Total Non Current Assets	**104076**	**95693**	**100120**	**99885**	**89960**	**92277**
Total Assets	**139264**	**126550**	**135182**	**139142**	**124028**	**127940**
Liabilities and equity						
Current Liabilities						
Financial debt	11863	9416	10892	10092	12019	14032
Derivative liabilities	408	317	352	464	18515	18803
Trade and other payables	21807	19204	20523	20907	4917	4492
Accruals	5466	5112	5114	5051	508	802
Provisions	865	675	620	532	254	420
Current income tax liabilities	2435	2360	2447	2962	2661	2673
Liabilities directly associatecl with assets held for sale	19	-	28	12	848	393
Total Current Liabilities	42863	37084	39976	40020	39722	41615
Non-Current Liabilities						
Financial debt	51697	45825	43420	36482	27928	23132
Derivative liabilities	307	239	470	-	-	-
Employee benefits liabilities	2629	2718	2884	3779	5118	6151
Provisions	1086	1303	1113	1106	1029	1162
Deferred tax liabilities	3767	2886	3671	3794	2636	2589
Other payables	222	108	856	234	1081	429
Total Non-Current Liabilities	59708	53079	52414	45395	37792	33463
Total Liabilities	102571	90163	92390	85415	77514	75078
Equity						
Share capital	262	267	275	282	288	298
Treasury shares	(4283)	(5155)	(9303)	(6194)	(6643)	(9752)
Translation reserve	(26788)	(27581)	(23559)	(22266)	(24397)	(21526)
Other reserves	363	(50)	(63)	(45)	(365)	(45)
Retained Earnings	66363	68261	74632	81363	76812	83060
Total equity attributable to shareholders of the parent	35917	35742	41982	53140	45695	52035
Non-controlling Interests	776	645	810	587	819	827
Total Equity	36693	36387	42792	53727	46514	52862
Total Liabilities and Equity	**139264**	**126550**	**135182**	**139142**	**124028**	**127940**
Net Working Capital	(7675)	(6227)	(4914)	(763)	(5654)	(5952)
No of Shares= 0.1CHF each	2620	2670	2750	2815	2881	2976
Weighted average no of shares for EPS (units in millions)	2596	2646	2707	2788	2845	2929
Weighted average no of shares for DPS (units in millions)	2599	2648	2709	2791	2849	2934

Consolidated Profit and Loss (in millions of CHF) (Nestle, 2025; Nestle, 2024; Nestle, 2023; Nestle, 2022; Nestle, 2021; Nestle, 2020)

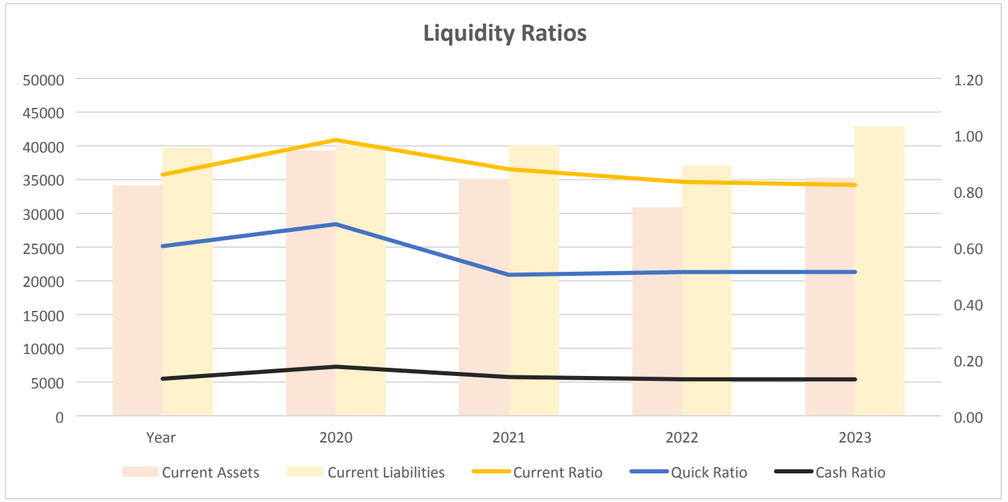
Particulars	**2024**	**2023**	**2022**	**2021**	**2020**	**2019**
Sales	**91354**	**92998**	**94424**	**87088**	**84343**	**92568**
Other revenue	366	353	356	382	338	297
Cost of goods sold	(48670)	(50328)	(51745)	(45468)	(42971)	(46647)
Distribution expenses	(7567)	(7765)	(8386)	(7919)	(7861)	(8496)
Marketing ancl administration expenses	(18112)	(17549)	(16850)	(17294)	(17370)	(19790)
Research ancl development costs	(1667)	(1656)	(1696)	(1670)	(1576)	(1672)
Other trading income	124	132	107	171	238	163
Other trading expenses	(1195)	(1665)	(3015)	(3131)	(908)	(2749)
Trading Operating Profit/ Gross Profit	**14633**	**14520**	**13195**	**12159**	**14233**	**13674**
Other operating income	474	298	340	698	1919	3717
Other operating expenses	(383)	(755)	(1209)	(1178)	(1356)	(1313)
Operating profit / Earnings Before Interest and Tax	14724	14063	12326	11679	14796	16078
Financial Income	358	284	210	80	109	200
Financial Expense	(1843)	(1644)	(1250)	(953)	(983)	(1216)
Income from associates and joint ventures	1249	1120	1040	8651	1815	1001
Earnings before Tax	14488	13823	12326	19457	15737	16063
Taxes	(3314)	(2314)	(2730)	(2261)	(3365)	(3159)
Earnings after Tax	11174	11509	9596	17196	12372	12904
Minority Share	290	300	326	291	140	295
Net Profit to Shareholders	**10884**	**11209**	**9270**	**16905**	**12232**	**12609**
EPS	4.19	4.24	3.42	6.06	4.30	4.30
DPS	3.05	3.00	2.95	2.80	2.75	
MP	74.88	97.51	107.41	127.44	104.26	

The instrinsic value as per Refinitiv database is 72.89. so the nestle shares are over valued slightly.
Nestle is value firm and that it provides consistent dividends.

Company Fundamentals - Cash Flow					
Company Name	Nestle SA (NESN.S)				
Country of Exchange	Switzerland				
TRBC Industry Group	Food & Tobacco				
Particulars (Nestle, 2025; Nestle, 2024; Nestle, 2023; Nestle, 2022; Nestle, 2021; Nestle, 2020)	31-12-2024	31-12-2023	31-12-2022	31-12-2021	31-12-2020
Operating Cash Flow - Indirect					
Profit/(Loss) - Starting Line - Cash Flow	11,174	11,509	9,596.0	17,196	12,372
Non-cash Items & Reconciliation Adjustments - Cash Flow	7,545.0	6,962.0	9,292.0	700.0	5,774.0
Equity Income/(Loss) in Net Earnings - Cash Flow - to Reconcile	-1,249.0	-1,120.0	-1,040.0	-8,651.0	-1,815.0
Income Tax Expense - Cash Flow - to Reconcile	3,314.0	2,314.0	2,730.0	2,261.0	3,365.0
Financial Income/(Expense) - Cash Flow - to Reconcile	1,485.0	1,360.0	1,040.0	873.0	874.0
Other Non-Cash Items & Reconciliation Adjustments - Cash Flow - to Reconcile	-340.0	-71.00	99.00	351.0	814.0
Depreciation, Depletion & Amortization including Impairment - Cash Flow - to Reconcile	4,162.0	4,105.0	6,267.0	6,054.0	4,176.0
Depreciation & Depletion - Property, Plant & Equipment - Cash Flow - to Reconcile	3,110.0	2,993.0	3,097.0	3,056.0	3,127.0
Impairment - Property, Plant & Equipment including Intangible Assets - Cash Flow - to Reconcile	580.0	647.0	2,726.0	2,614.0	711.0
Amortization - Intangible Assets & Deferred Charges - Cash Flow - to Reconcile	472.0	465.0	444.0	384.0	338.0
Assets Sale - Gain/(Loss) - Cash Flow - to Reconcile	57.00	232.0	68.00	-318.0	-1,763.0
Share Based Payments - Cash Flow - to Reconcile	116.0	142.0	128.0	130.0	123.0
Income Taxes - Paid/(Reimbursed) - Cash Flow	2,411.0	2,801.0	3,107.0	2,722.0	2,645.0
Interest Paid - Cash	1,539.0	1,330.0	953.0	753.0	815.0
Interest & Dividends - Received - Total - Cash Flow	1,032.0	892.0	726.0	43.00	76.00
Cash Flow from Operating Activities before Changes in Working Capital	15,801	15,232	15,554	14,464	14,762
Working Capital - Increase/(Decrease) - Cash Flow	874.0	709.0	-3,647.0	-600.0	-385.0
Accounts Receivables - Decrease/(Increase) - Cash Flow	-355.0	-1,027.0	-321.0	-824.0	36.00
Inventories - Decrease/(Increase) - Cash Flow	-1,256.0	1,756.0	-3,428.0	-1,414.0	-1,740.0
Prepaid Expenses - Decrease/(Increase) - Cash Flow	-20.00	-11.00	9.00	-94.00	-4.00
Accounts Payable - Increase/(Decrease) - Cash Flow	2,676.0	65.00	492.0	2,115.0	1,193.0
Accrued Expenses - Increase/(Decrease) - Cash Flow	163.0	351.0	115.0	44.00	829.0
Other Liabilities - Increase/(Decrease) -Total - Cash Flow	-61.00	369.0	143.0	148.0	-248.0
Other Assets & Liabilities - Increase/(Decrease) - Net - Cash Flow	-273.0	-794.0	-657.0	-575.0	-451.0
Net Cash Flow from Operating Activities	**16,675**	**15,941**	**11,907**	**13,864**	**14,377**
Investing Cash Flow					
Capital Expenditures - Net - Cash Flow	5,963.0	6,203.0	5,361.0	5,341.0	4,364.0
Property, Plant & Equipment - Purchased/(Sold) - Net - Cash Flow	5,638.0	5,714.0	5,095.0	4,880.0	4,076.0
Property, Plant & Equipment - Purchased - Cash Flow	5,638.0	5,714.0	5,095.0	4,880.0	4,076.0
Intangible Assets - Purchased/(Sold) - Net - Total - Cash Flow	325.0	489.0	266.0	461.0	288.0
Intangible Assets - Purchased/Acquired - Cash Flow	325.0	489.0	266.0	461.0	288.0
Capital Expenditures - Total	5,963.0	6,203.0	5,361.0	5,341.0	4,364.0
Acquisition & Disposals of Business - Assets - Sold/(Acquired) - Net - Cash Flow	-832.0	4.00	-1,550.0	-2,864.0	-604.0
Acquisition of Business - Cash Flow	832.0	211.0	1,710.0	6,394.0	4,520.0
Business - Sold - Cash Flow		215.0	160.0	3,530.0	3,916.0
Investments excluding Loans - Decrease/(Increase) - Cash Flow	-1,251.0	-80.00	5,902.0	-3,610.0	-749.0
Investment Securities - Unclassified - Sold/(Purchased) - Net - Total - Cash Flow	-1,251.0	-80.00	5,902.0	-3,610.0	-749.0
Investments - Associated Companies & Joint Ventures - Sold/(Purchased) - Cash Flow	-532.0	-582.0	-918.0	8,579.0	-182.0
Other Investing Cash Flow - Decrease/(Increase)	-46.00	665.0	24.00	192.0	232.0
Net Cash Flow from Investing Activities	**-8,624.0**	**-6,196.0**	**-1,903.0**	**-3,044.0**	**-5,667.0**
Financing Cash Flow					
Dividends Paid - Cash - Total - Cash Flow	7,816.0	7,829.0	7,618.0	7,681.0	7,700.0
Dividends - Common - Cash Paid	7,816.0	7,829.0	7,618.0	7,681.0	7,700.0
Stock - Total - Issuance/(Retirement) - Net - Cash Flow	-4,678.0	-5,234.0	-10,679	-6,548.0	-6,814.0
Stock - Issuance/(Retirement) - Net - Excluding Options/Warrants - Cash Flow	-4,678.0	-5,234.0	-10,679	-6,548.0	-6,814.0
Stock - Common - Issuance/(Retirement) - Net - Cash Flow	-4,678.0	-5,234.0	-10,679	-6,548.0	-6,814.0
Stock - Common - Repurchased/Retired - Cash Flow	4,678.0	5,234.0	10,679	6,548.0	6,814.0
Minority Interests & Joint Ventures - Net - Cash Flow	-27.00	-52.00	-605.0	-601.0	-1.00
Debt - Long-Term & Short-Term - Issuance/(Retirement) - Total - Cash Flow	5,333.0	3,680.0	7,801.0	5,980.0	4,401.0
Debt - Issued/(Reduced) - Short-Term - Total - Cash Flow	2,396.0	-2,537.0	148.0	-885.0	-2,747.0
Debt - Issued/(Reduced) - Long-Term - Cash Flow	2,937.0	6,217.0	7,653.0	6,865.0	7,148.0
Debt - Issued - Long-Term - Cash Flow	7,992.0	9,806.0	10,936	11,339	10,330
Debt - Reduced - Long-Term - Cash Flow	5,055.0	3,589.0	3,283.0	4,474.0	3,182.0
Other Financing Cash Flow - Increase/(Decrease)	-174.0	-323.0	-284.0	-302.0	-268.0
Net Cash Flow from Financing Activities	**-7,362.0**	**-9,758.0**	**-11,385**	**-9,152.0**	**-10,382**
Foreign Exchange Effects					
Foreign Exchange Effects - Cash Flow	53.00	-682.0	-100.0	89.00	-562.0
Change in Cash					
Net Change in Cash - Total	**742.0**	**-695.0**	**-1,481.0**	**1,757.0**	**-2,234.0**
Net Cash from Continuing Operations	742.0	-695.0	-1,481.0	1,757.0	-2,234.0
Net Cash - Beginning Balance	4,816.0	5,511.0	6,992.0	5,235.0	7,469.0
Net Cash - Ending Balance	5,558.0	4,816.0	5,511.0	6,992.0	5,235.0
Supplemental					
Income Taxes - Paid/(Reimbursed) - Cash Flow - Supplemental	2,411.0	2,801.0	3,107.0	2,722.0	2,645.0
Interest Paid - Cash Flow - Supplemental	1,539.0	1,330.0	953.0	753.0	815.0
Interest & Dividends - Received - Cash Flow - Supplemental	1,032.0	892.0	726.0	43.00	76.00
CF from Optg Activities before Change in WC & Int Payments	17,340	16,562	16,507	15,217	15,577
Non-GAAP Free Cash Flow - Company Reported	10,666	10,403	6,570.0		
Cash Dividends Paid & Common Stock Buyback - Net	12,494	13,063	18,297	14,229	14,514
Common Stock Buyback - Net	4,678.0	5,234.0	10,679	6,548.0	6,814.0
Depreciation, Depletion & Amortization - Cash Flow	3,582.0	3,458.0	3,541.0	3,440.0	3,465.0
Free Cash Flow to Equity	16,045	13,418	14,347	14,503	14,414
Free Cash Flow Net of Dividends	2,896.0	1,909.0	-1,072.0	842.0	2,313.0
Free Cash Flow	10,712	9,738.0	6,546.0	8,523.0	10,013
Dividends Provided/Paid - Common	7,991.0	8,010.0	8,112.5	7,882.0	7,922.8

Current Ratio

Year	Current Assets	Cash and Cash Equ	Inventory	Current Liabilities	Current Ratio	Quick Ratio	Cash Ratio
2020	34068	5235	10101	39722	0.86	0.60	0.13
2021	39257	6988	11982	40020	0.98	0.68	0.17
2022	35062	5511	15019	39976	0.88	0.50	0.14
2023	30857	4816	11896	37084	0.83	0.51	0.13
2024	35188	5556	13260	42863	0.82	0.51	0.13

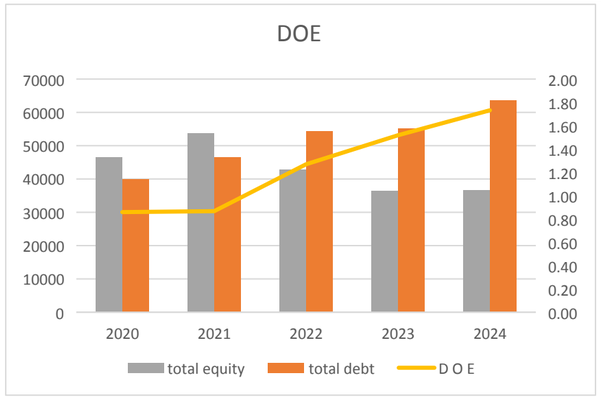


Quick Ratio

Year	Current Assets - Invent	Current Liabilities	quick ratio
2020	23967	39722	0.60
2021	27275	40020	0.68
2022	20043	39976	0.50
2023	18961	37084	0.51
2024	21928	42863	0.51

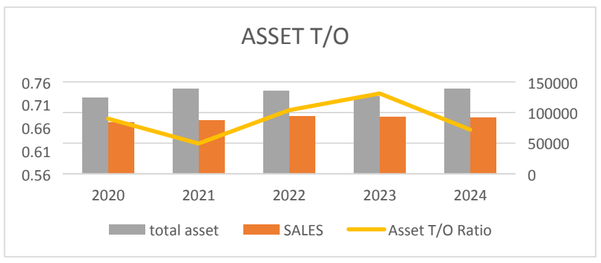
Cash Ratio

Year	cash& cash Flow	Current Liabilities	Cash Ratio
2020	5235	39722	0.13
2021	6988	40020	0.17
2022	5511	39976	0.14
2023	4816	37084	0.13
2024	5556	42863	0.13



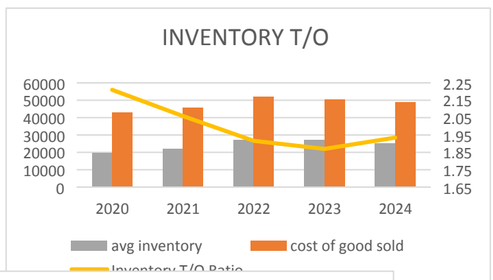
Debt to Equity

Year	total debt	total equity	D O E
2020	39947	46514	0.86
2021	46574	53727	0.87
2022	54312	42792	1.27
2023	55241	36387	1.52
2024	63560	36693	1.73



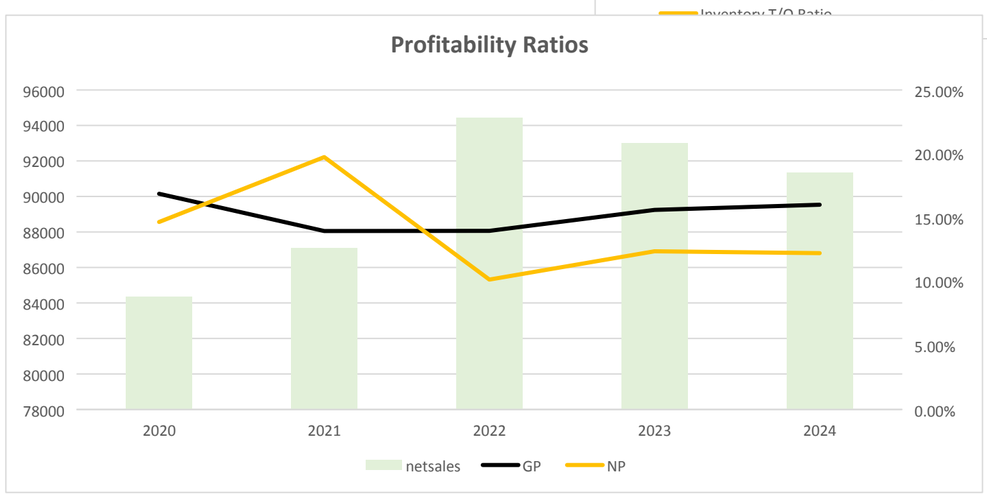
asset T/O ratio

Year	SALES	total asset	Asset T/O Ratio
2020	84343	124028	0.68
2021	87088	139142	0.63
2022	94424	135182	0.70
2023	92998	126550	0.73
2024	91354	139264	0.66



inventory T/o ratio

Year	cost of good sold	avg inventory	Inventory T/O Ratio
2020	42971	19444	2.21
2021	45468	22083	2.06
2022	51745	27001	1.92
2023	50328	26915	1.87
2024	48670	25156	1.93

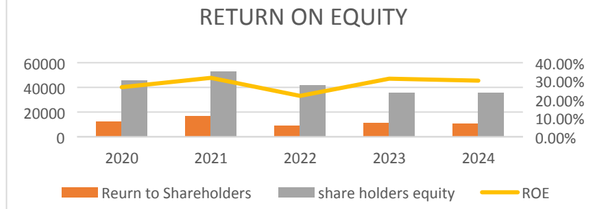


GP Ratio

Year	gross profit	netsales	GP
2020	14233	84343	16.88%
2021	12159	87088	13.96%
2022	13195	94424	13.97%
2023	14520	92998	15.61%
2024	14633	91354	16.02%

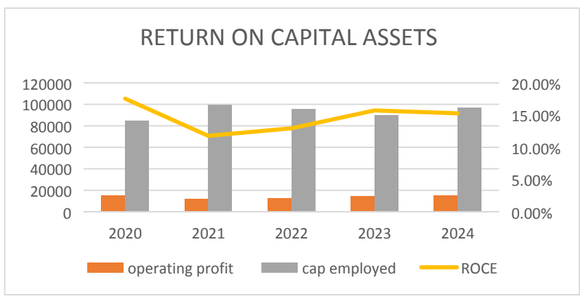
NP Ratio

Year	EARNING AFTER TAX	net sales	NP
2020	12372	84343	14.67%
2021	17196	87088	19.75%
2022	9596	94424	10.16%
2023	11509	92998	12.38%
2024	11174	91354	12.23%



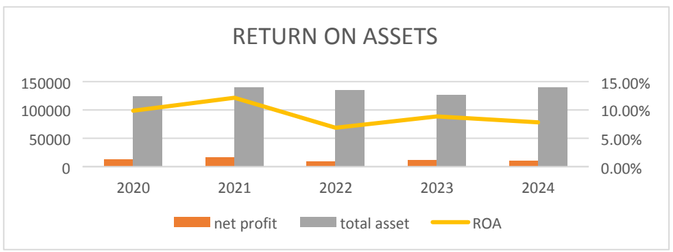
return on equity

Year	Reurn to Shareholders	hare holders equit	ROE
2020	12232	45695	26.77%
2021	16905	53140	31.81%
2022	9270	41982	22.08%
2023	11209	35742	31.36%
2024	10884	35917	30.30%



return on capital employed

Year	operating profit	cap employed	ROCE
2020	14796	84306	17.55%
2021	11679	99122	11.78%
2022	12326	95206	12.95%
2023	14063	89466	15.72%
2024	14724	96401	15.27%

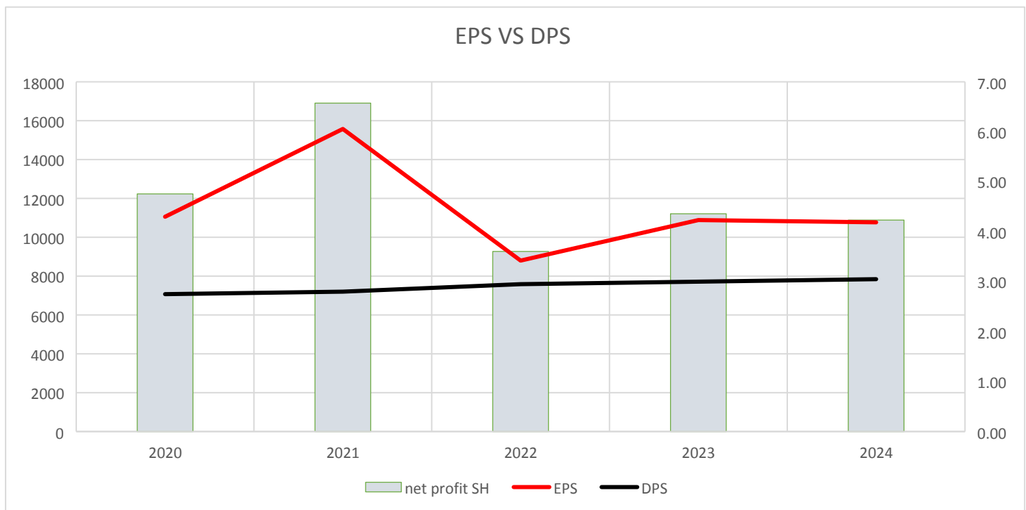


return on assets

Year	net profit	total asset	ROA
2020	12232	124028	9.86%
2021	16905	139142	12.15%
2022	9270	135182	6.86%
2023	11209	126550	8.86%
2024	10884	139264	7.82%

EPS

Year	net profit SH	W.AVG.S.EPS	EPS	DPS
2020	12232	2845	4.30	2.75
2021	16905	2791	6.06	2.8
2022	9270	2709	3.42	2.95
2023	11209	2648	4.23	3.00
2024	10884	2599	4.19	3.05



EBIT

year	current year value	previous year valu	% change in EBIT
2020	14796	16078	-7.97%
2021	11679	14796	-21.07%
2022	12326	11679	5.54%
2023	14063	12326	14.09%
2024	14724	14063	4.70%

EBT

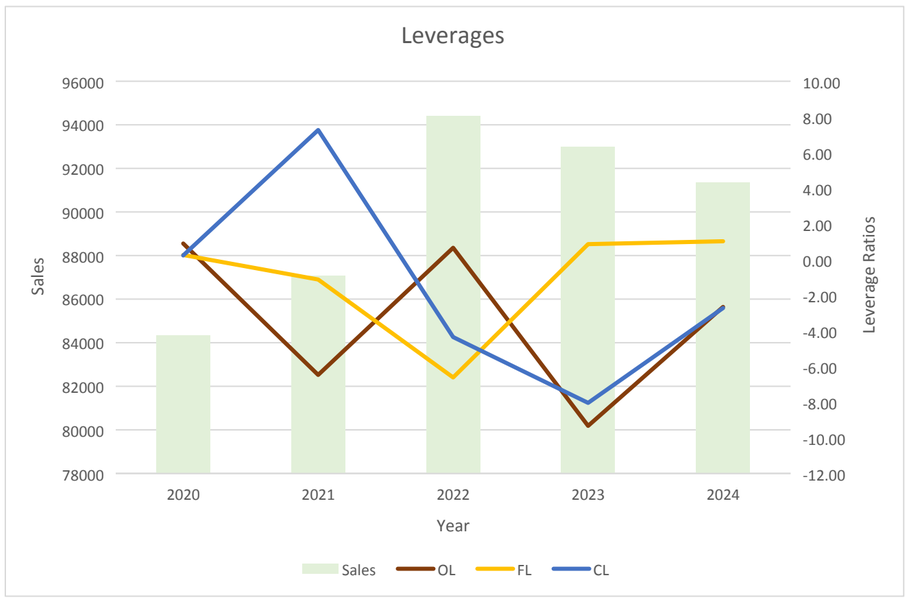
YEAR	current year value	previous year valu	% EBT
2020	15737	16063	-2.03%
2021	19457	15737	23.64%
2022	12326	19457	-36.7%
2023	13823	12326	12.15%
2024	14488	13823	4.81%

SALES

YEAR	current year value	previous year valu	% SALES
2020	84343	92568	-8.89%
2021	87088	84343	3.25%
2022	94424	87088	8.42%
2023	92998	94424	-1.51%
2024	91354	92998	-1.77%

Leverages

YEAR	Sales	EBIT%	EBT%	SALES%	OL	FL	CL
2020	84343	-7.97%	-2.03%	-8.89%	0.90	0.25	0.23
2021	87088	-21.07%	23.64%	3.25%	-6.47	-1.12	7.26
2022	94424	5.54%	-36.65%	8.42%	0.66	-6.62	-4.35
2023	92998	14.09%	12.15%	-1.51%	-9.33	0.86	-8.04
2024	91354	4.70%	4.81%	-1.77%	-2.66	1.02	-2.72



Liquidity Ratios	
Current Ratio	The current ratio of Nestle is below 1. A current ratio below 1 is indicative of liquidity risk. However for Nestle, it is a deliberate strategy. By increasing the credit term and distributing cash balances in the form of dividend and buybacks, Nestle maintains a lean Working Capital. This finances Nestle's operations at no extra cost. Thus a low Current ratio is not a risk for Nestle but a part of its strategy
Quick Ratio	quick ratio is lower than the current ratio, signaling a significant share of current assets is inventory. Nestle holds low balances of current assets over current liabilities as part of its startegy to maintain a lean working capital.
Cash Ratio	Too much free cash is unutilised capital and also makes the balance sheet look heavier. Nestle operating cash flow is robust and predictable reduceing the need for large cash reserves to absorb shock. This can be seen in the way Nestle maintained its dividend outflows during and shortly after the Covid period reinforcing its image as a reliable value firm
overall	**Nestle maintains lower levels of Current assets over Current Liabilities. The major component of Current Assets is Inventories. Nestle maintints higher levels of current liabilities especially their trade creditors using favourable terms of credit to finance their operations at near zero cost. This indicative of efficient working caoital management. Nestle also does not need high cash reseves du to its stong business model and giving it consistent cash flows. Therefore it distributes its high cash balances as dividends and buybacks to signal future cash flows to maintain a reputation a low risk firm and improve its EPS.**
Leverage Ratios	
Debt to Equity	The debt-to-equity ratio increased from from 0.87 (2020) to 1.73 (2024). This reflects the increasing role of debt in financing operations. When Share buyback is also taken into account, it means debt is replacing equity while maintaining total capital. This helps to boost EPS and increases its market valuation however this also increases financial risk due to rising interest costs. This decreases Nestle's ability to be flexible about its capital deployment during adverse market scenarios
Efficiency Ratios	
Asset T/O Ratio	The asset t/o ratio remain stable throughout the review period with modest fluctuations. The ratio fell in 2024 which is coinciding with fall in sales due to changes in market demand
Inventory T/O Ratio	The inventory t/o ratio seems to be falling from 2.21 (2020) to 1.87 (2023). This is reflected of the fact that Covid 19 has changed consumption patterns which is making it difficult to products leading to buildup of stocks. However the ratio improved to 1.93 (2024) showing that inventory started moving faster possibly due to post Covid Normalisation
Profitibility Ratios	
GP Ratio	GP% fell in 2021, cost inflation (raw materials), discounting, or mix shift to lower margin products. 2021 to 2024 (gradual rise to 16.02%): Improved gross margin due to return to pre covid levels. The 2024 GP% shows that the company regained margin on 2024. The fall in 2021 is due to effect of Covid
NP Ratio	NP% falls the GP% for the most part except 2021. The fall in NP in 2021 and its subsequent increase in margin is normalisation to pre covid levels. 2021 recorded exceptionally high net profit due to non operating profit on the disposal on L Oreal shares and is not part of its operations. The profit on disposal was used to fund buyback of its shares
Return on Equity	Nestle's ROE has been stable for the most part showcasing strong profit generation capability from the equity capital invested in the company The 2022 dip was due to lower net profit from Covid effects, howeve it is going back to pre covid normal levels ...
Return on Capital Employed	ROCE fell in 2021 because the capital employed increased due to high retained earnings from the profits on disposal of L'Oreal shares. ROCE has been consistent for the most part with minor variations due to covid and change inconsumption pattern
Return on Assets	Peaked in 2021 due to strong net profit that year; big drop in 2022 (net profit fell while assets stayed high). The ratio is stabilising to normal levels due to post covid normalisation. Overall Nestle has good profit generation capacity from its assets both tangible and imtangible assets
Valuation Ratios	
EPS	EPS peaked in 2021 due to high net profit obtained from disposal of L'Oreal share in 2022. EPS stabilised in 2022 after buyback and is consistent with pre-Covid levels. This plays a huge rolein their Dividend startegy as well
DPS	Nestle maintain its dividend payout ratio in absolute terms as it wants to maintain itself defensive cash rich FMCG that values its equity holders. Therefore Nestle never cuts dividends over short term fluctuations in profitability. It is also using its buyback strategy to both reduce effect of certain Investments on its overall Balance sheet thus increasing EPS and simulatenously using it to reward shareholders. It strategically uses timing effect to accelerate and decelerate buyback as and when reqired to maintain consistency in DPS. Nestle is a huge market player with significant market influence. Big Insitutional investors like Sovereign Wealth Funds and Pension Funds invest in it. They depend on regular consistent Dividends to run their programmes. Hence Nestle uses its DPS strategy to maintain its position as a low risk firm with consistent income which appels to risk averse long term investors.
P/E Ratio	The PE ratio is falling YOY while EPS remains constant indicated that investors are not very optimistic about future growth of Nestle. This is consistent with overall industry experiencing lower demand due to consumers shifting to private branded goods and changing overall consumption patterns. The EPS is constant however fall in sales, rising input and associated costs and indicates that the EPS is being maintained through non operational activities.
Market Value/ Book Value	The market value to book value is falling due to multiple factors like falling sales and other financial indicators as well as governance issues like CEO beimg changed which reduced customer confidence in the firm which is reflected in the prices
Operating Leverage	Nestle low operating leverage means that it has more of variable costs than fixed costs. Hence profitability is dependant more on cost management and that operating profit closely follows growth in sales
Financial Leverage	Nestle's Financial Leverage is increasing means that interest payments are increasing. This is consistent with growth in debt in the capital structure of Nestle. But a rising Financial leverage indicates that debt is eating into Nestle's ability to convert revenue and operating profits into taxable profits. If the interest expense grows too large, then it ends up affecting the profit availble to shareholders
Combined Leverage	Nestle Combined Leverage is indicative that while Nestle is reducing its operational risk but has increased its financial risk by replacing equity with debt as ovserved from rising debt and buyback programmes. This increases Nestle's Valuation provided it can manage its debt related costs.

Liquidity Ratios

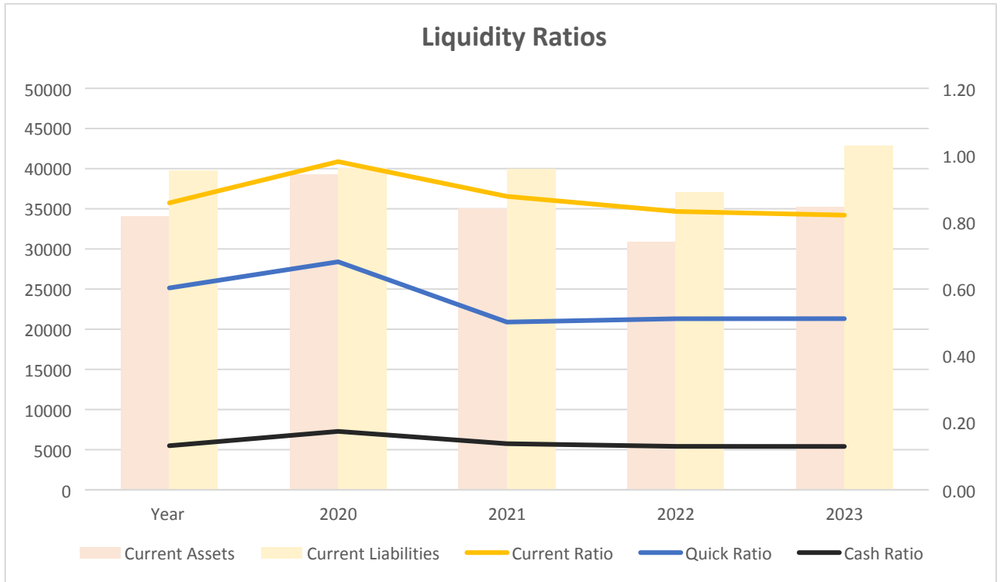
Current Ratio The current ratio of Nestle is below 1. A current ratio below 1 is indicative of liquidity risk. However for Nestle, it is a deliberate strategy. By increasing the credit term and distributing cash balances in the form of dividend and buybacks, Nestle maintains a lean Working Capital. This finances Nestle's operations at no extra cost. Thus a low Current ratio is not a risk for Nestle but a part of its strategy

Quick Ratio quick ratio is lower than the current ratio, signaling a significant share of current assets is inventory. Nestle holds low balances of current assets over current liabilities as part of its startegy to maintain a lean working capital.

Cash Ratio Too much free cash is unutilised capital and also makes the balance sheet look heavier. Nestle operating cash flow is robust and predictable reduceing the need for large cash reserves to absorb shock. This can be seen in the way Nestle maintained its dividend outflows during and shortly after the Covid period reinforcing its image

overall Nestle maintains lower levels of Current assets over Current Liabilities. The major component of Current Assets is Inventories. Nestle maintints higher levels of current liabilities especially their trade creditors using favourable terms of credit to finance their operations at near zero cost. This indicative of efficient working caoital management. Nestle also does not need high cash reseves du to its stong business model and giving it consistent cash flows. Therefore it distributes its high cash balances as dividends and buybacks to signal future cash flows to maintain a reputation a low risk firm and improve its EPS.

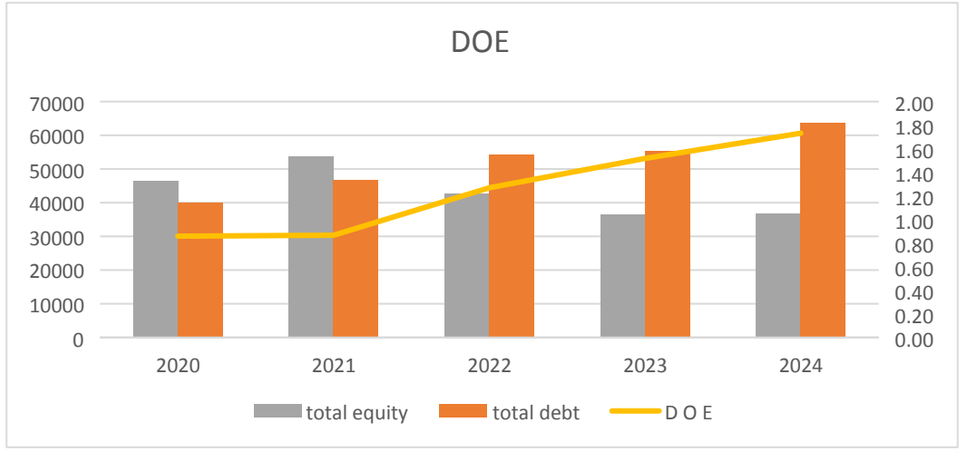
Year	Current Assets	Cash and Cash Equivalents	Inventory	Current Liabilities	Current Ratio	Quick Ratio	Cash Ratio
2020	34068	5235	10101	39722	0.86	0.60	0.13
2021	39257	6988	11982	40020	0.98	0.68	0.17
2022	35062	5511	15019	39976	0.88	0.50	0.14
2023	30857	4816	11896	37084	0.83	0.51	0.13
2024	35188	5556	13260	42863	0.82	0.51	0.13



Debt to Equity

The debt-to-equity ratio increased from 0.87 (2020) to 1.73 (2024). This reflects the increasing role of debt in financing operations. When Share buyback is also taken into account, it means debt is replacing equity while maintaining total capital. This helps to boost EPS and increases its market valuation however this also increases financial risk due to rising interest costs. This decreases Nestle's ability to be flexible about its capital deployment during adverse market scenarios

Year	total debt	total equity	D O E
2020	39947	46514	0.86
2021	46574	53727	0.87
2022	54312	42792	1.27
2023	55241	36387	1.52
2024	63560	36693	1.73



Leverage

Operating Leverage	Nestle low operating leverage means that it has more of variable costs than fixed costs. Hence profitability is dependant more on cost management and that operating profit closely follows growth in sales
Financial Leverage	Nestle's Financial Leverage is increasing means that interest payments are increasing. This is consistent with growth in debt in the capital structure of Nestle. But a rising Financial leverage indicates that debt is eating into Nestle's ability to convert revenue and operating profits into taxable profits. If the interest expense grows too large, then it ends up
Combined Leverage	Nestle Combined Leverage is indicative that while Nestle is reducing its operational risk but has increased its financial risk by replacing equity with debt as ovserved from rising debt and buyback programmes. This increases Nestle's Valuation provided it can manage its debt related costs.

EBIT

year	current year value	previous year valu	% change in EBIT
2020	14796	16078	-7.97%
2021	11679	14796	-21.07%
2022	12326	11679	5.54%
2023	14063	12326	14.09%
2024	14724	14063	4.70%

EBT

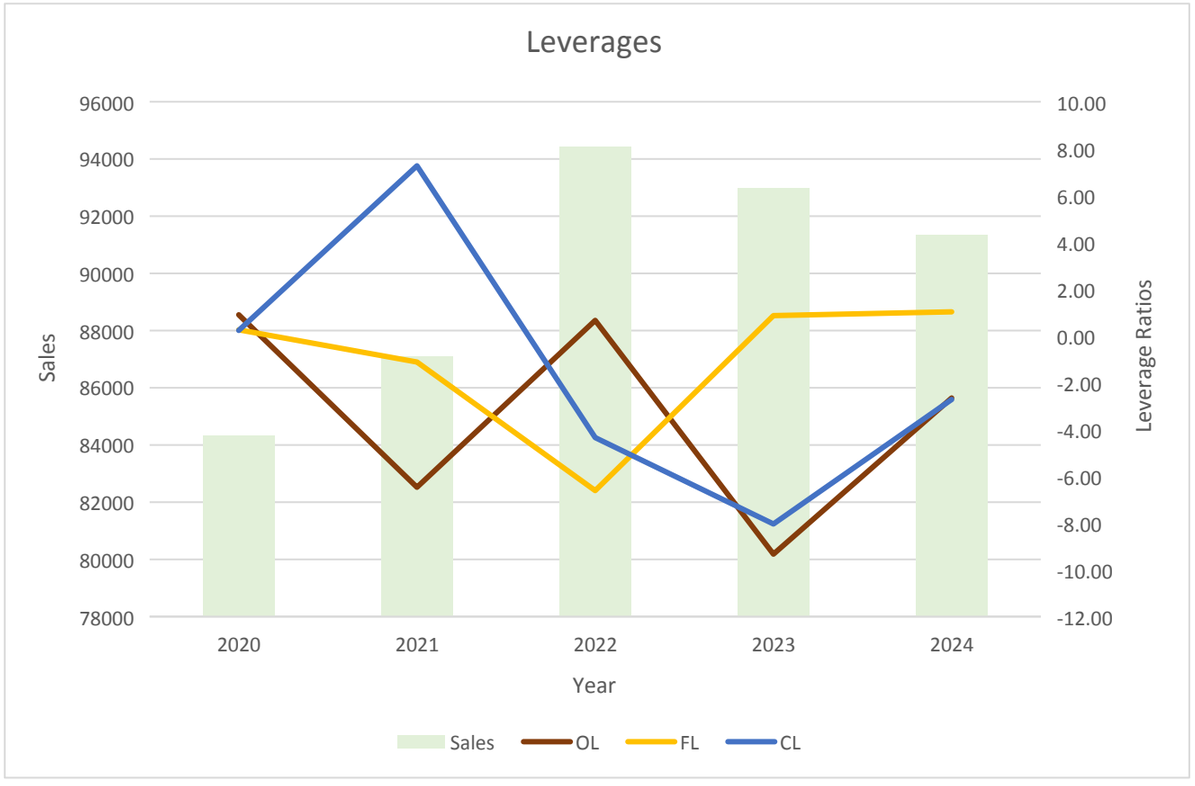
YEAR	current year value	previous year valu	% EBT
2020	15737	16063	-2.03%
2021	19457	15737	23.64%
2022	12326	19457	-36.7%
2023	13823	12326	12.15%
2024	14488	13823	4.81%

SALES

YEAR	current year value	previous year valu	% SALES
2020	84343	92568	-8.89%
2021	87088	84343	3.25%
2022	94424	87088	8.42%
2023	92998	94424	-1.51%
2024	91354	92998	-1.77%

Leverages

YEAR	Sales	EBIT%	EBT%	SALES%	OL	FL	CL
2020	84343	-7.97%	-2.03%	-8.89%	0.90	0.25	0.23
2021	87088	-21.07%	23.64%	3.25%	-6.47	-1.12	7.26
2022	94424	5.54%	-36.65%	8.42%	0.66	-6.62	-4.35
2023	92998	14.09%	12.15%	-1.51%	-9.33	0.86	-8.04
2024	91354	4.70%	4.81%	-1.77%	-2.66	1.02	-2.72



Effeciency Ratios

Asset T/O Ratio The asset t/o ratio remain stable throughout the review period with modest fluctuations. The ratio fell in 2024 which is coinciding with fall in sales due to changes in market demand.

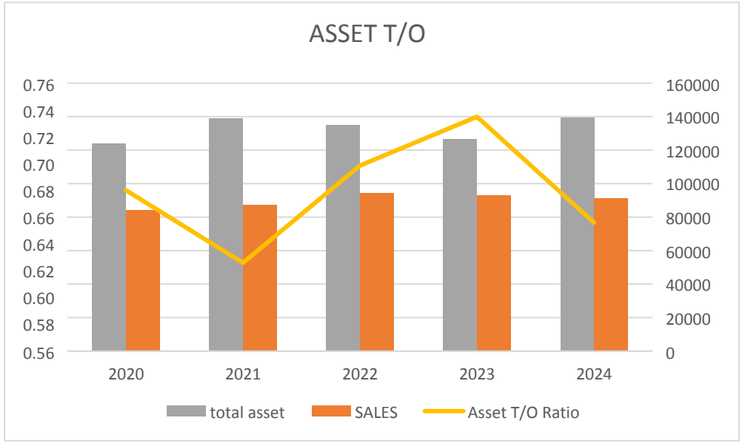
Inventory T/O Ratio The inventory t/o ratio seems to be falling from 2.21 (2020) to 1.87 (2023). This is reflected of the fact that Covid 19 has changed consumption patterns which is making it difficult to products leading to buildup of stocks. However the ratio improved to 1.93

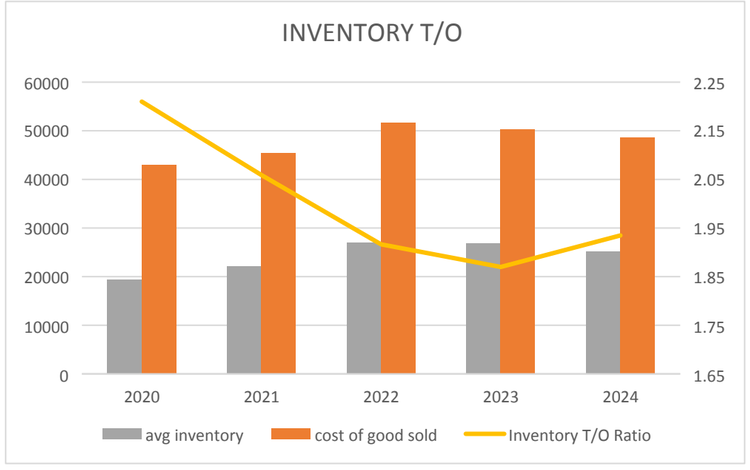
Asset T/O ratio

Year	SALES	total asset	Asset T/O Ratio
2020	84343	124028	0.68
2021	87088	139142	0.63
2022	94424	135182	0.70
2023	92998	126550	0.73
2024	91354	139264	0.66

Inventory T/o ratio

Year	cost of good sold	avg inventory	Inventory T/O Ratio
2020	42971	19444	2.21
2021	45468	22083	2.06
2022	51745	27001	1.92
2023	50328	26915	1.87
2024	48670	25156	1.93





Profitability Ratios

GP Ratio Nestle's GP margin fell in 2021 due cost due to the pandemic. 2021 to 2024 saw a gradual rise to 16.02% due to return to pre covid levels. The 2024 GP margin shows that the company regained pre covid margin signalling return to normal business environemnt

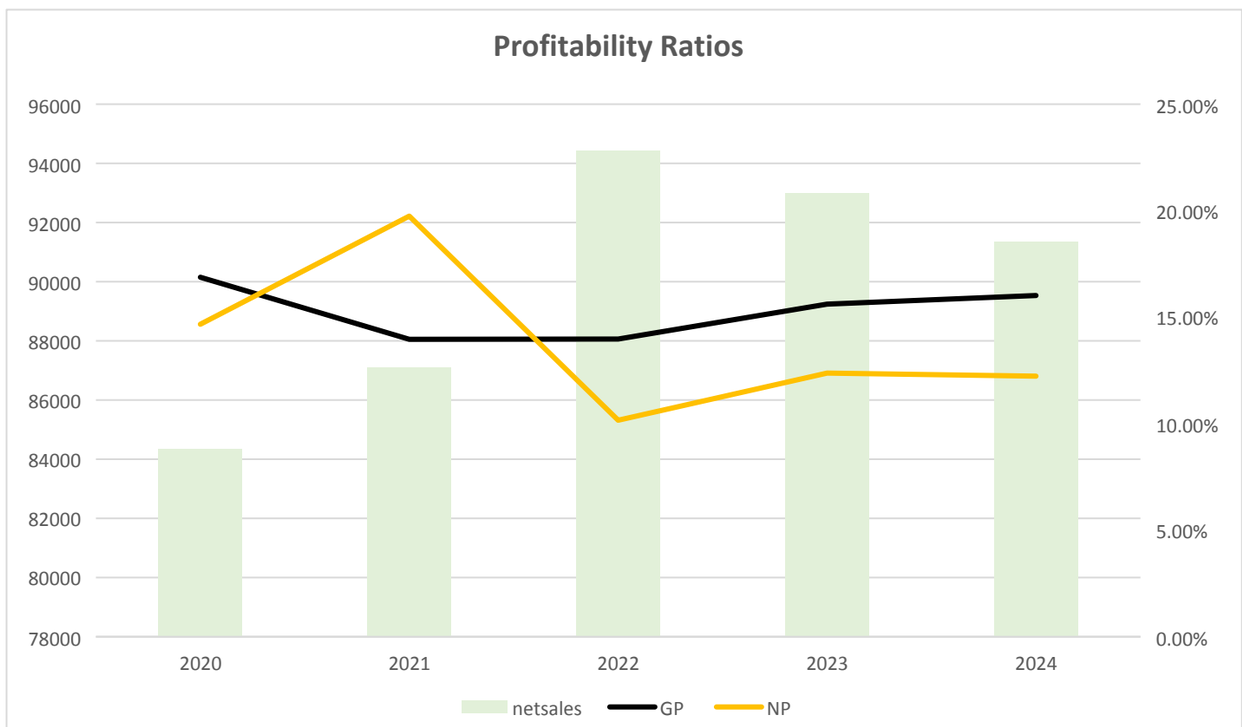
NP Ratio NP% falls the GP% for the most part except 2021. The fall in NP in 2021 and its subsequent increase in margin is normalisation to pre covid levels. 2021 recorded exceptionally high net profit due to non operating profit on the disposal on L Oreal shares and is not part of its operations. The profit on disposal was used to fund buyback of its shares. . The Net Profit margin is yet to reach pre covid levels as there are factors other operations that governance issues that are bringing down overall net profit margin.

GP Ratio

Year	gross profit	netsales	GP
2020	14233	84343	16.88%
2021	12159	87088	13.96%
2022	13195	94424	13.97%
2023	14520	92998	15.61%
2024	14633	91354	16.02%

NP Ratio

Year	EARNING AFTER TAX	net sales	NP
2020	12372	84343	14.67%
2021	17196	87088	19.75%
2022	9596	94424	10.16%
2023	11509	92998	12.38%
2024	11174	91354	12.23%



Returns

Return on Equity	Nestle's ROE has been stable for the most part showcasing strong profit generation capability from the equity capital invested in the company The 2022 dip was due to lower net profit from Covid effects, howeve it is going back to pre covid normal levels
Return on Capital Employed	ROCE fell in 2021 because the capital employed increased due to high retained earnings from the profits on disposal of L'Oreal shares. ROCE has been consistent for the most part with minor variations due to covid and change inconsumption pattern
Return on Assets	Peaked in 2021 due to strong net profit that year; big drop in 2022 (net profit fell while assets stayed high). The ratio is stabilising to normal levels due to post covid normalisation. Overall Nestle has good profit generation capacity from its assets both tangible and imtangible assets

Return on equity

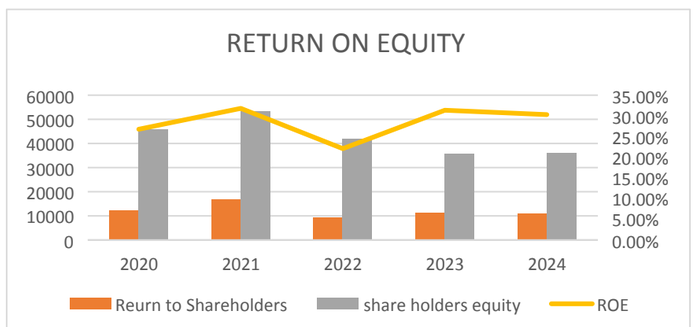
Year	Reurn to Shareholders	share holders equit	ROE
2020	12232	45695	26.77%
2021	16905	53140	31.81%
2022	9270	41982	22.08%
2023	11209	35742	31.36%
2024	10884	35917	30.30%

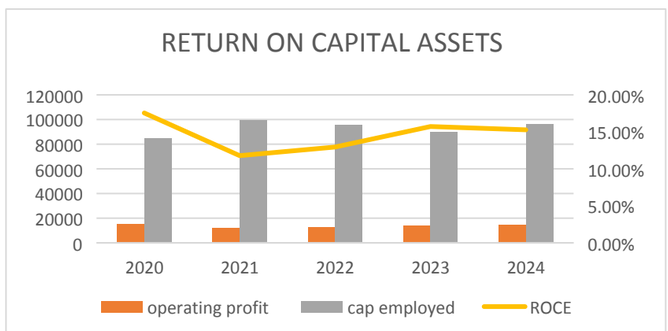
Return on capital employed

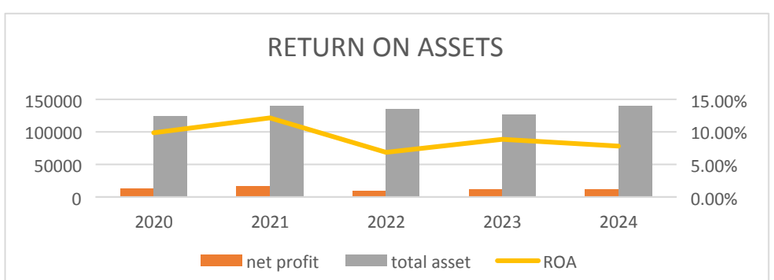
Year	operating profit	cap employed	ROCE
2020	14796	84306	17.55%
2021	11679	99122	11.78%
2022	12326	95206	12.95%
2023	14063	89466	15.72%
2024	14724	96401	15.27%

Return on assets

Year	net profit	total asset	ROA
2020	12232	124028	9.86%
2021	16905	139142	12.15%
2022	9270	135182	6.86%
2023	11209	126550	8.86%
2024	10884	139264	7.82%



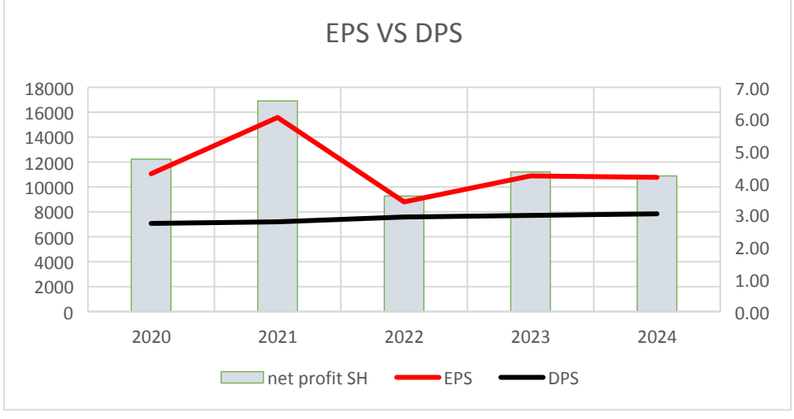




Valuation

EPS	EPS peaked in 2021 due to high net profit obtained from disposal of L'Oreal share in 2022. EPS stabilised in 2022 after buyback and is consistent with pre-Covid levels. This plays a huge rolein their Dividend startegy as well
DPS	Nestle maintain its dividend payout ratio in absolute terms as it wants to maintain itself defensive cash rich FMCG that values its equity holders. Therefore Nestle never cuts dividends over short term fluctuations in profitability. It is also using its buyback strategy to both reduce effect of certain Investments on its overall Balance sheet thus increasing EPS and simulatenously using it to reward shareholders. It strategically uses timing effect to accelerate and decelerate buyback as and when reqired to maintain consistency in DPS. Nestle is a huge market player with significant
P/E Ratio	The PE ratio is falling YOY while EPS remains constant indicated that investors are not very optimistic about future growth of Nestle. This is consistent with overall industry experiencing lower demand due to consumers shifting to private branded goods and changing overall consumption patterns. The EPS is constant however fall in sales, rising input and associated costs and indicates that the EPS is being maintained through non operational activities.
Market Value/ Book Value	The market value to book value was rising showing positive sentiment but it fell in 2024 due to multiple factors like falling sales as well as governance issues like CEO being fired for under performance which reduced customer confidence in the firm which is reflected in the prices and reduced P/E ratio and Market to Book Value
Valuation	The instrinsic value as per Refinitiv database is 72.92 as on 30/10/2025. so the nestle shares are over valued slightly. However considerig that Nestle is value firm and that it provides consistent di\

Year	net profit SH	W.AVG.S.EPS	EPS	DPS	Market Price	P/E Ratio	Market to Book Value
2020	12232	2845	4.30	2.75	104.26	24.25	6.46
2021	16905	2791	6.06	2.8	127.44	21.04	6.68
2022	9270	2709	3.42	2.95	107.41	31.39	6.90
2023	11209	2648	4.23	3.00	97.51	23.04	7.16
2024	10884	2599	4.19	3.05	74.88	17.88	5.35



Particulars	2024	2023	2022	2021	2020
Liquidity Ratios					
Current Ratio	0.82	0.83	0.88	0.98	0.86
Quick Ratio	0.51	0.51	0.50	0.68	0.60
Cash Ratio	0.13	0.13	0.14	0.17	0.13
Leverage Ratios					
Debt to Equity	1.73	1.52	1.27	0.87	0.86
Efficiency Ratios					
Asset T/O Ratio	0.66	0.73	0.70	0.63	0.68
Inventory T/O Ratio	1.93	1.87	1.92	2.06	2.21
Profitibility Ratios					
GP Ratio	16.0%	15.6%	14.0%	14.0%	16.9%
NP Ratio	11.9%	12.1%	9.8%	19.4%	14.5%
Return on Equity	30.30%	31.36%	22.08%	31.81%	26.77%
Return on Capital Employed	15.27%	15.72%	12.95%	11.78%	17.55%
Return on Assets	7.82%	8.86%	6.86%	12.15%	9.86%
Valuation Ratios					
EPS	4.19	4.24	3.42	6.06	4.30
DPS	3.05	3.00	2.95	2.80	2.75
Dividend Yield	72.75%	70.82%	86.15%	46.18%	63.96%
Market Price	74.88	97.51	107.41	127.44	104.26
P/E Ratio	17.86	23.02	31.37	21.02	24.25
Market Value/ Book Value	5.35	7.16	6.90	6.68	6.46

while the ideal current ratio is 2:1, Nestle maintains it a lower than 1 due to efficient working capital management represented by longer trade payables and lower levels of inventory.

cash ratio falls in 2022, 2023 and 2024 primarily due to major share buyback programmes

https://www.nestle.com/investors/shares-adrs/dividends